

manufacturer. This possibility has prompted economists like former RBI governor Raghuram Rajan to question whether India is actually *manufacturing* mobile phones or merely assembling them. However, refuting Rajan's analysis, Minister of State for Electronics and IT Rajeesh Chandrasekhar said in a detailed social media post that assembly is the first step towards greater value addition. He also

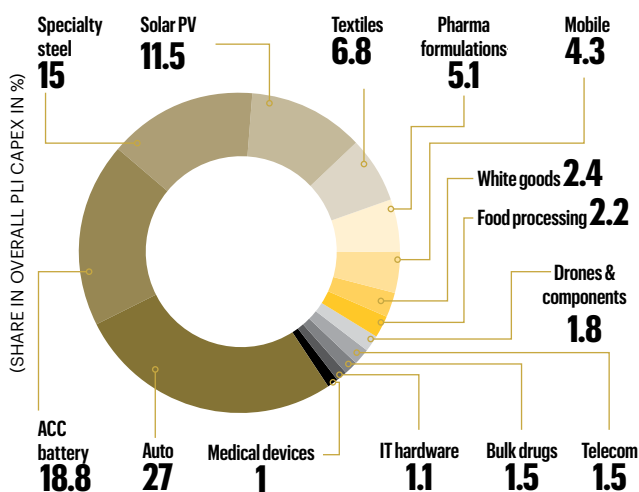
and fight to capture global markets, the component ecosystem would grow naturally since they would have to remain competitive in terms of pricing," he says. Nearly ₹11,000 crore worth of proposed investments were approved in October 2020 from five global firms (Foxconn Hon Hai, Wistron, Pegatron Rising Star and Samsung) and five local companies (Lava, Micromax, UTL Neolyncs, Padgett Elec-

tion and disbursement between the manufacturers, including Samsung, dragged till end-2022.

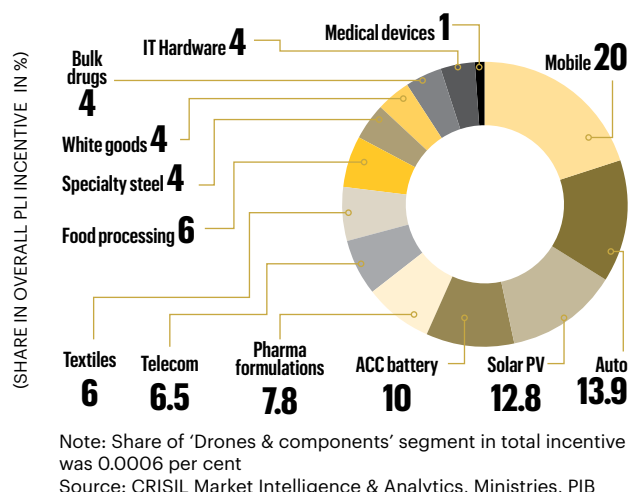
Disputes over incentives continue to affect other sectors as well. In telecom, PLI was planned for the period 2021-22 to 2025-26. However, lack of interest from enough manufacturers of telecom gear and disagreement over incentive outlay forced the authorities to extend the scheme till 2026-27

TRACKING THE SECTORS

Automobiles, ACC battery and steel makers will invest over 60 per cent of the total PLI capex...



...While mobile, auto and solar PV will account for the highest share in overall PLI incentives



wrote that India's performance is "far better than what China was able to do in its first four to six years of mobile manufacturing".

PLI may still end up meeting both targets, argues Pankaj Mohindroo, Chairman of Indian Cellular and Electronics Association. "The goal is to place India on the global map by growing exports of mobile handsets from India. As manufacturers scale up production

electronics and Optimus Electronics). Yet, the deadline for PLI for mobile handsets to end was extended by a year to 2025-26 as poor disbursement of incentives and lack of clarity on incentive calculation led to protests by manufacturers like Samsung and Padgett. In spite of their initial commitments, only Samsung managed to achieve the target in 2020-21. And even after the extension, the dispute over incentive calcula-

tion and offer 1 per cent additional incentive for design-led local manufacturing. While 42 companies finally received approval in late-October 2022, only ₹1,330 crore out of ₹4,200 crore worth projected capex has been invested since April 1, 2021, data from Cellular Operators Association of India (COAI) shows.

In automotive, the largest PLI sector, disagreement over incentive calculation continues to im-